

Price hikes inevitable to keep lights on

Once again, Eskom's application to the regulator for a steep hike in electricity prices will provoke a national debate around the affordability of electricity services and the financial sustainability of the power sector. We shall also have to confront implications for the security of electricity supply and questions around a more appropriate electricity market structure.

The regulator's current three year price determination for Eskom expires at the end of March. Remarkably, Eskom has delayed its price application for the next period until the last moment. Clearly there has been a great deal of behind-the-scenes lobbying. Ordinarily the regulator would need a few months to consider the application, allow for public hearings and make its decision. Now Eskom will enter its new financial year without clarity on the electricity price path and municipalities, whose finances depend in large measure on electricity sales, do not know what to budget for the next years.

Eskom will most likely apply for an electricity price increase of more than 80 per cent this year and more than fifty per cent next year. Prices could increase more than three fold over the next three years. Serious stuff! But Eskom faces extremely serious financing challenges in the short and medium term. For the first time in decades, it will make a loss in this financial year.

The core problem is the current sub-economic price of electricity generation. The average Eskom electricity tariff in the 2007-8 financial year was 19.45 cents a kilowatt hour (c/kWh). The power generation component accounted for about 13 c/kWh (the remainder comprises power transmission and distribution costs). Yet the cost of new coal-fired power generation is now above 60c/kWh and nuclear and renewable energy costs are even higher. It is obvious that electricity prices need to rise substantially.

But will the regulator have the political courage to make this decision? Like most countries, South Africa has a legally independent electricity regulator which was established to deal with exactly this kind of challenge. Cost-reflective tariffs are necessary to secure the financial viability of the utility, but at the same time there is intense political pressure to constrain price

increases. This is precisely the role of the regulator. It needs to protect consumers (and it can do this through targeted pro-poor tariffs) but it also needs to ensure that the utility has the resources to provide reliable electricity services.

In determining an appropriate electricity price, the regulator will use an internationally acceptable methodology for calculating Eskom's revenue requirement based on its operating expenses plus depreciation and a return on assets which allows it to finance new investments in power generation, transmission and distribution. Hopefully it will value Eskom's assets appropriately and adopt a more commercial rate of return. The regulator will also examine vital financial indicators such as Eskom's debt to equity ratio and its interest cover.

Eskom's balance sheet faces severe pressures. After many years of not investing in new generating capacity, it has now embarked on a massive new capex programme to cope with power scarcities. The destruction of demand in the wake of the global financial crisis has provided unexpected, but temporary, relief to South Africa's strained power infrastructure. It takes many years to build new power generation capacity and we cannot delay any of the investments necessary to power South Africa's economy in the future.

Eskom's investments requirements are gargantuan. The previous five year estimate of R343bn will now be very much higher. Eskom funds its investments partially through retained earnings and partially through capital markets, including bond issues. The global credit crunch and the downgrading of Eskom's credit rating have made this finance more expensive. Government has sought to strengthen Eskom's balance sheet through a R60bn long-term subordinated loan (effectively equity) and through debt guarantees amounting to R176bn.

But it is now clear that the state is approaching its limit in support for Eskom. It has other social priorities, including health, education, safety and security and social grants for poverty alleviation. Should tax payers be subsidizing Eskom, or should electricity consumers pay the true cost of power? Getting this equation right is crucial for ensuring that South Africa has adequate power for its economy and its people. Getting it wrong would mean an unsustainable drain on the fiscus or an inexorable drift into inadequate investment and maintenance and ultimately more blackouts.

This is not an alarmist scenario. It has happened with depressing regularity across many developing countries whose economic potential is being constrained through lack of power. We cannot afford to go down that path. We need to take the hard decisions now around economic pricing. We also need to think about alternative ways of raising finance for the sector. And those alternatives unavoidably involve private sector participation and market reform.

If Eskom and government are struggling to finance much needed investment in new power generation capacity, then it is obvious that we need to reconsider possible roles for the private sector. Wholesale privatisation of Eskom, or the sale of a strategic equity stake, is probably not a good idea. It would simply entrench a private monopoly. The experience of the partial privatization of Telkom, without confronting competition issues directly, provides a sobering example: there were few improvements in service quality or prices.

But other options could be considered. Eskom owns and operates ten large coal-fired power stations. Some of these could be sold off and could compete in a wholesale power market or could be given competitive long-term power contracts. Or private investors could be encouraged to invest as independent power producers (IPPs) with off-take agreements with the System Operator, ideally separate from Eskom.

There is no doubt that private investment and participation in the power sector is a great deal more difficult and expensive in the context of a global credit squeeze. Yet it is still possible. IPP developers are still active across Africa. What they need is policy and regulatory clarity.

Unfortunately the latest draft regulations from the Department of Minerals and Energy, regarding the entry of IPPs, do exactly the opposite. They create additional bureaucratic hurdles that will inhibit investment. One of the challenges of the new post-April government will be to provide leadership and clarity on an appropriate market structure for the power sector.

The shock of Eskom's price increase application thus focuses our minds on two key challenges: we shall have to accept higher regulated prices and we shall have to encourage wider private participation in our power sector. Both ultimately will be good for South Africa. If Eskom is financially sustainable it can provide reliable electricity services for our economy and

our people. And if private investors are encouraged (in Eskom debt, the purchase of Eskom power stations and in new IPPs), then we have a better chance of meeting future growth imperatives. Higher prices will support new investment. They have the added benefit of encouraging more efficient use of electricity.

There has been much discussion behind closed doors around these issues. Now South Africans need to confront the hard choices. Either we accept the inevitability of much higher electricity prices plus increased private finance and participation or we become resigned to a gradually deteriorating power system with disastrous consequences for our economy and welfare. The choices are clear.

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